- **Endowment or Scholarship fund**

  (i) If the scholarship is awarded endlessly, then $P = \frac{a}{i}$

  (ii) If the scholarship is awarded for a fixed period, say, n years, then $P = \frac{a}{i}\left[1-\left(1+i\right)^{-n}\right]$

- **Face Value:** The original Value of the share is called its nominal values or face value or printed value.

- **Market Value:** The price at which the share is sold (or) purchased in the capital market through stock exchanges is called the market value.

- A Share is called at par if the market value of the share is equal to its face (or) nominal value.

- A share is said to be above par (or) at premium, if the market value of the share is more than its nominal value.

- A share is said to be below par (or) at discount, if the market value of the share is less than its nominal value.

- The part of the annual profit, which a share holder gets for his investment from the company is called dividend.

- Dividend is always declared on the face value of the share and the rate of dividend is expressed as a percentage of the nominal value of a share per annum.

- Annual income of a shareholders = $\frac{n \times r \times F.V}{100}$

  Where n = number of shares with the shareholders
  r = rate of dividend,

- Annual Return = $\frac{Annual\ income}{investment\ in\ shares} \times 100\%$

- Number of Shares held = $\frac{investment}{M.V(or)F.V.of\ one\ share(as\ the\ type\ of\ investment)}$

  (or)

  $= \frac{Annual\ income}{income\ from\ one\ share}$ (or) $= \frac{Total\ F.V}{F.V.of\ one\ share}$

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